NVIDIA | investment committee decision

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Valuation as of September 24, 2026 close | USD common shares | Fund currently owns no position

Decision: watch / defer initiation

Keep NVIDIA on the watch list. The dated DCF supports a rounded scenario span of $100-$285 per diluted share, with a $158 base, against the September 24 close of $224.58. The upside case can support initiation, but the base does not provide a margin of safety. These are causal scenarios, not probability-weighted price targets. Request permission to continue research, with no position initiated on this evidence alone.

Scenario	Value/share	WACC	Terminal value / EV
AI-spending slowdown / price pressure	$99.65	13.94%	65.0%
Growth fades as scale expands	$157.96	11.95%	73.6%
Durable demand / stronger pricing	$284.35	9.96%	82.4%

What supports the operating forecast

The latest included reported balance sheet is July 26, 2026, published August 26. The first-half revenue input and Q3 revenue guidance support near-term scale; Q4 revenue of $118.8bn is a separate judgment, not guidance. Full FY2027 revenue is $404.6bn. Later revenue growth fades to 35%, 25%, 15% and 8%; full-year gross margin fades from 74% to 70%, while R&D rises from 8% to 12% of revenue. The model personalizes working capital, R&D and supplier inventory for a fabless semiconductor business.

Valuation and normalization

FCFF comes from the operating statements, with WACC derived from a 12% required equity return, 4.5% borrowing cost, 17% tax rate and market-equity/debt weights. These financing rates are judgment inputs tested over a range, not a fitted beta estimate. Terminal reinvestment funds stable productive assets and working capital at 3% growth. The FY2026 H20 charge is separately normalized for profitability context; it is not added again to future cash flow. Forecast earnings exclude investment gains; SBC stays a compensation cost without a free cash-flow addback.

The equity bridge adds estimated excess cash, marketable securities and haircut private investments once, and subtracts $33.366bn reported debt. It uses 24.285bn diluted weighted-average shares as a fixed proxy; 24.1bn basic shares are used only for market-cap weights. Preferred equity and NCI are assumed absent. Financial investments and debt are not silently updated to October prices.

What could change the decision

Under the base operating forecast, the market price requires approximately 9.32% WACC versus the base 11.95%. A growth-only shift within the tested +/-10 percentage-point domain does not reach the quote. This is a conditional market-implied expectation, not proof the market is wrong.

Use a provisional initiation gate of price at or below 80% of an independently defended base value (about $126 on this model), or a revised base above about $281 at the $224.58 reference price, subject to acceptable downside and refreshed evidence. Reversal triggers include failed customer returns on AI infrastructure, export-policy shocks, persistent margin erosion, weaker collections, or increasing supplier commitments without cash conversion. A downside outcome moves the name to do-not-initiate until the economics recover. Thresholds are decision rules for review, not instructions to trade.

Cross-method disagreement

At the same September 24 closing-price date, qualified AMD/Broadcom annual GAAP P/E references imply roughly $360-$1,164 for NVIDIA. EV/sales references imply $242-$266. Neither is an adopted fair-value interval. Their annual financial and share-count dates differ; AMD has CPU/client/gaming exposure and relatively small historical earnings, while Broadcom combines semiconductors with software and tax-sensitive earnings. Revenue multiples omit differences in margin and reinvestment. Do not average these references with the DCF. Their disagreement points to growth-duration and earnings-definition risk. No control transaction multiple is admitted: VMware's software/control/synergy and transaction-date context is not transferable to NVIDIA minority shares.

Sensitivity and limits

With operating assumptions fixed, +/-5-point growth shifts produce about $133-$186/share; +/-2-point margin shifts produce $152-$164. Growth ranks higher only over those ranges. Reducing its range to +/-1 point reverses the ranking against the same margin range. Terminal value supplies 74% of base operating EV, making the discount-rate and steady-state assumptions material.

September balances are estimated by a straight-line roll from July's reported balance sheet, and remaining FY2027 cash flows are prorated on the same basis. This fixes the earlier whole-year discounting mismatch but is not a daily forecast. Nonoperating investment values, no additional acquisitions/investments/buybacks, fixed shares, aggregate operating accruals, taxes and leases remain simplifications. Revisit the work on the next filing, a guidance/export-control change, or a price crossing the stated gates. This dated analysis does not assert an October 19 market value.

Evidence and committee ask

Sources: NVIDIA FY2026 Form 10-K; Q2 FY2027 results release; AMD/Broadcom FY2025 Form 10-Ks; FinancialContent NVDA and Stock Analysis peer historical prices. Exact URLs, periods, definitions, tests and material AI contributions are in Validation-and-AI-Use.pdf. The workbench and visible-output.json expose the inputs, bridge, checks and scenarios. Approve watch/defer, specify acceptable risk and margin-of-safety conditions, and require a refreshed evidence review before initiation.